

Market Insights

Weekly Market Commentary

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November 17th, 2025



» Sarvesh Tiku, Head of Market Insights

Global Financial Markets Weekly Review: Week Ending Nov. 17, 2025

Equities: U.S. equities showed uneven performance this week as sector-level moves were driven primarily by rate uncertainty and delayed economic data. Real Estate traded essentially flat, drifting between \$40.95 and \$41.70 as elevated borrowing costs and muted sentiment kept the sector pinned below its 50-day average. Consumer Staples rose 1.77% from November 10, briefly touching \$77.75 before cooling and settling near \$77.35, reflecting early momentum that faded as investors hesitated ahead of new data releases. Utilities saw the sharpest pullback, dropping 1.31% from a mid-week high near \$90 to \$88.76 after hawkish Fed commentary reduced December rate-cut expectations from nearly 90% to roughly 55%. Industrials also slipped 0.67% as weakening global indicators from China and Europe and rising discount rates trimmed valuations. Across sectors, the tone remained cautious, with markets reacting more to shifting policy odds than to company-specific catalysts.

Fixed Income: Bond markets reflected the same policy uncertainty driving equities, with the front end of the curve reacting most intensely to shifting rate expectations. Short-duration TIPS continued to weaken as real yields climbed and the probability of a December Fed cut fell from around 90% to roughly 55%, pressuring STIP throughout the month. Green bonds remained stable despite rate volatility, supported by persistent investor appetite, highlighted by Bank of Ireland's €750 million green issuance receiving more than three times subscription demand. Broader U.S. investment-grade exposure stayed firm as AGG held a 4.2% SEC yield, 5.8-year duration, and a strong +6.7% year-to-date return, helped by cooler inflation and lower rate volatility. Emerging-market debt regained momentum as VWO benefited from renewed inflows, a 3.28% price increase since August, and rising yields across USD-denominated sovereign issuers. The week underscored a market still anchored by stable inflation but highly sensitive to shifts in the Fed's path.

Commodities: Commodities diverged sharply as supply shocks, weather dynamics, and geopolitical risk pulled markets in different directions. Orange juice extended its steep correction, falling 9.20% to a three-year low as prices traded between 158 and 181.78 USD/Lbs, driven by expectations for a much stronger Brazilian harvest and ongoing demand destruction following last year's record highs. Natural gas slid more than 4% to the \$4.41–\$4.45/MMBtu range after a larger-than-expected 45 Bcf storage build pushed inventories to 3,960 Bcf - 4% to 4.5% above the five-year average, despite LNG exports holding near a record 17.8 bcfd. Crude oil remained range-bound near \$59.8 as a 6.4-million-barrel rise in U.S. inventories offset short-lived support from Ukrainian drone strikes disrupting Russian exports. Meanwhile, rare earth metals rallied sharply, with REMX gaining 3.48% to \$70.21 as yttrium prices surged 4,400% year-to-date and U.S. strategic investment increased through a \$400 million Pentagon allocation and a separate \$1.4 billion domestic magnet-production partnership. Power markets were steadier, with Entergy prices hovering between \$24 and \$45/MWh and Western hubs around \$54/MWh, even as PJM's capacity auction jumped 22% to \$329/MW-day, signaling mounting structural load from AI-driven data centers.

Currencies: Currency markets held narrow ranges but reflected meaningful shifts in yield dynamics and central-bank expectations. The yen strengthened 0.42% as USD/JPY held between 153.4 and 155.0, with softer U.S. yields and steady Japanese verbal intervention keeping the pair capped below the key 155 resistance. The British pound remained directionless despite GDP coming in at 0.1% versus 0.2% expected, as investors weighed the risk of the Bank of England cutting rates before the Federal Reserve. EUR/USD edged higher from roughly 1.15 to above 1.16 as the end of the U.S. government shutdown reduced data uncertainty and the ECB reiterated its steady-policy stance. The Canadian dollar stayed stuck near 1.40 despite firmer oil prices and stronger factory sales, held back by expectations that the Fed will keep rates higher for longer than the BoC. The Chinese yuan appreciated modestly, with USD/CNY slipping 0.33% as cooling U.S. inflation and easing Treasury yields softened dollar support. FX markets overall traded defensively, awaiting clearer signals from U.S. inflation releases and upcoming central-bank communications.

» Rudra Gopal, Equities Analyst

Real Estate Sector Flat as Borrowing Costs Remain Elevated

The Real Estate Select Sector SPDR (XLRE) moved very little during the last week. The ETF opened near \$41.2, briefly touched \$41.7, and drifted back toward \$40.95 by the week's end, leaving performance roughly flat to slightly negative. XLRE sat below its 50-day moving average and hovered near its 200-day, with the 10-day average crossing below the 50-day and signaling near-term downside momentum.

The main drag on the sector continues to be high interest rates. Fed officials warned that inflation is still too high, making a December rate cut likely. This pushed Treasury yields and mortgage rates higher, keeping borrowing costs elevated for homebuyers and real-estate investors. At the same time, key economic reports were delayed due to the government shutdown, creating more uncertainty and weighing on sentiment.

Company news within XLRE was mixed but generally solid. Prologis, American Tower, Equinix, Simon Property Group, and Realty Income all reported decent quarterly results, with several firms raising their yearly outlooks. However, their stock reactions were mild because investors remain cautious about how higher financing costs will affect property values and future growth.

Overall, the real-estate sector remains caught between strong earnings at many REITs and the ongoing pressure of high interest rates. With no major news or policy changes during the week, investor optimism stayed muted. As a result, XLRE continued to trade sideways, reflecting a market that is stable for now but still held back by expensive borrowing and economic uncertainty.



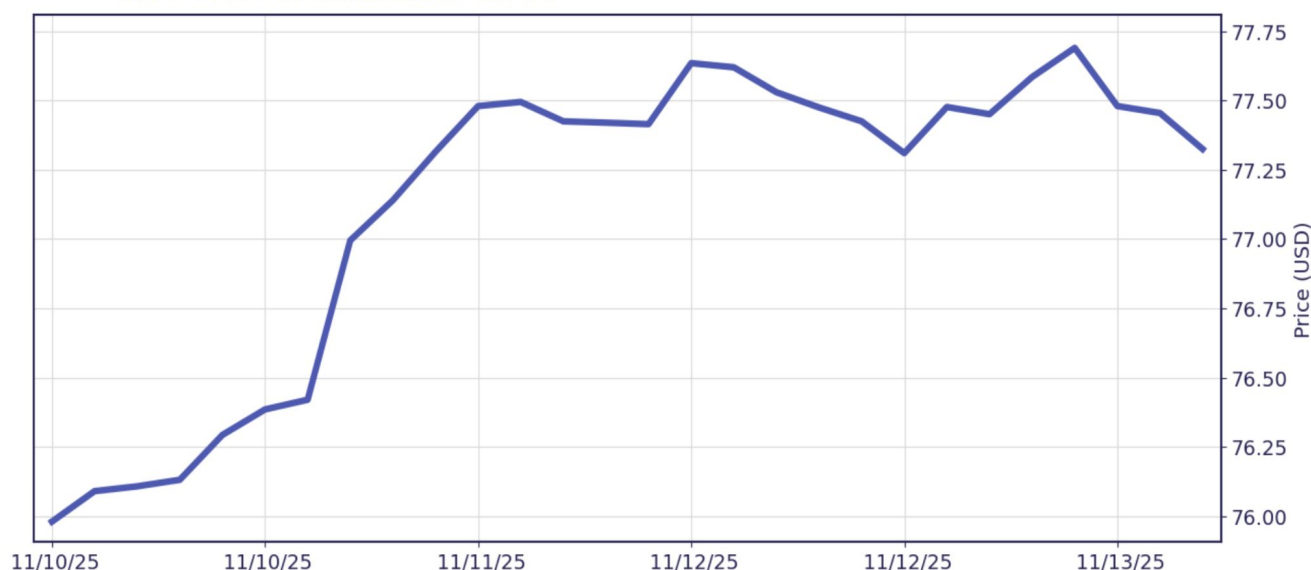
» Krish Soni, Equities Analyst

XLP: Early-Week Rally Followed by Sideways Consolidation

Over the past five trading days, the Consumer Staples Select Sector SPDR (XLP) showed a modest upward trend, rising about 1.77% since November 10 and trading primarily within the mid-\$77 range. The ETF opened the period near \$76 and climbed steadily through the first two days, breaking into the upper-\$77 zone by early November 12. XLP briefly touched its weekly high near \$77.75 before easing back toward the low-\$77s, ultimately settling around \$77.35. Despite the early surge, the latter half of the week featured tighter, sideways movement, reflecting a market still searching for conviction. Technically, the ETF remains close to its multi-week averages, with no decisive break above or below major moving-average levels. The price action indicates that while momentum was positive early in the week, conditions softened and stabilized as the rally cooled.

The sector's performance this week continued to be shaped by broader macroeconomic forces rather than company-specific catalysts. Persistent inflation concerns and uncertainty surrounding Federal Reserve policy kept investor sentiment cautious, even within defensive sectors like consumer staples. Elevated financing and input costs remain an overhang, and the absence of major earnings surprises limited the potential for a sustained breakout. With markets largely waiting for upcoming economic data, demand for staples stayed steady but subdued. Overall, XLP's pattern of early strength followed by consolidation reflects a stable yet restrained environment. The fund maintained its gains as investors sought defensive balance, but optimism remained muted without a clear macro catalyst. Unless meaningful policy or economic developments emerge, XLP is likely to continue oscillating within this narrow range—steady, supported, but not yet positioned for a breakout.

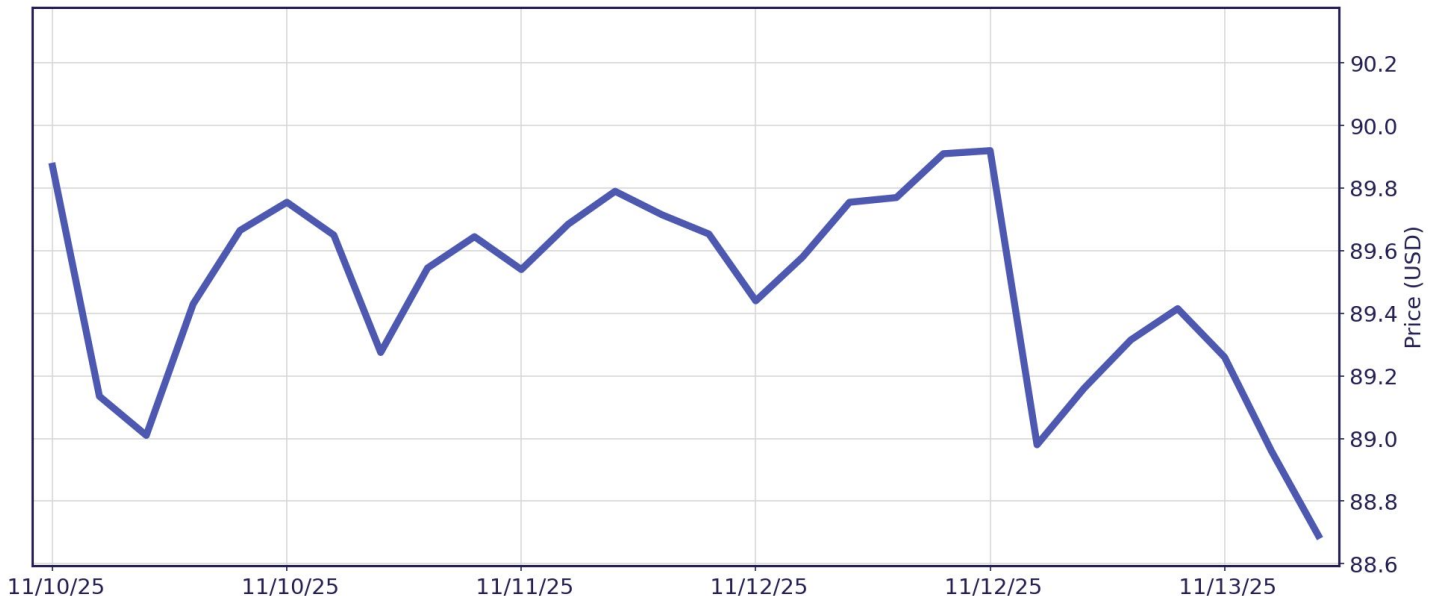
XLP: +1.77% since 2025-11-10



Utilities (XLU) Dip on Hawkish Fed-Speak

The primary catalyst for this sudden drop appears to be a shift in interest rate expectations. A fresh wave of volatility hit the market mid-week following "hawkish Fed-speak". These comments from Federal Reserve officials reduced expectations for a December rate cut from the central bank, leading investors to fear that the rate-cutting cycle might not be as certain as previously hoped. Because utility companies typically carry significant debt to finance their large-scale projects, the prospect of higher-for-longer interest rates makes their business models less profitable and their high-yielding dividends less attractive compared to safer assets like bonds. This market anxiety was compounded by an extended economic data vacuum caused by the recent government shutdown. Although President Trump signed a bill to reopen the government overnight on Wednesday, the market reaction was subdued as the focus shifted to the lack of official economic data, which has clouded the Federal Reserve's path forward.

XLU: -1.31% since 2025-11-10



» Michael Pham, Equities Analyst

Industrials Lose Momentum as Fed Cut Hopes Fade

From November 10th to November 14th, the Industrials Select Sector SPDR Fund (XLI) dropped by approximately 0.67% as investors repriced the macroeconomic outlook. This was primarily due to two things: odds of a December Fed rate cut went down significantly, and confidence in global demand decreased. These two events caused the XLI to drop slightly and made cyclical sectors like industrials slightly less attractive and promising to invest in.

The first topic on the board to discuss is the probability of the rate cut dropping. It went from a very strong probability to a near coin-flip, which pushed interest-rate expectations higher, raising discount rates and increasing costs for firms. Second, there was a substantial amount of volatility in the tech world, which led to some valuation trimming amongst AI-related big names in the industry. This triggered a wave to sell, which amplified the industrials sell-off even more.

Another reason behind the decline was a general overall weakness in global economic indicators, particularly in China and Europe. This raised concerns about industrial output and overall GDP health. Industrial companies are highly sensitive to global demand cycles like these since many rely on global manufacturing, exports, etc, and changes to these sensitive supply chains can significantly move their stock up or down. When signals from major economies point to slower investment, industrial companies will also move similarly with them, whether it be positive or negative. This was a primary reason for the XLI pullback, with traders attempting to position more cautiously.

In conclusion, this short 0.67% pullback reflects a combination of shifting global macroeconomic expectations plus some changing of at-home domestic rate cut probabilities. It's likely not to be anything too serious, as jumps and drops like these happen all the time in the broader trend of the global economy.

XLI: -0.67% since 2025-11-10



» Shivam Chopra, Fixed Income Analyst

Short-Term TIPS Ease as Policy Signals Turn Uncertain

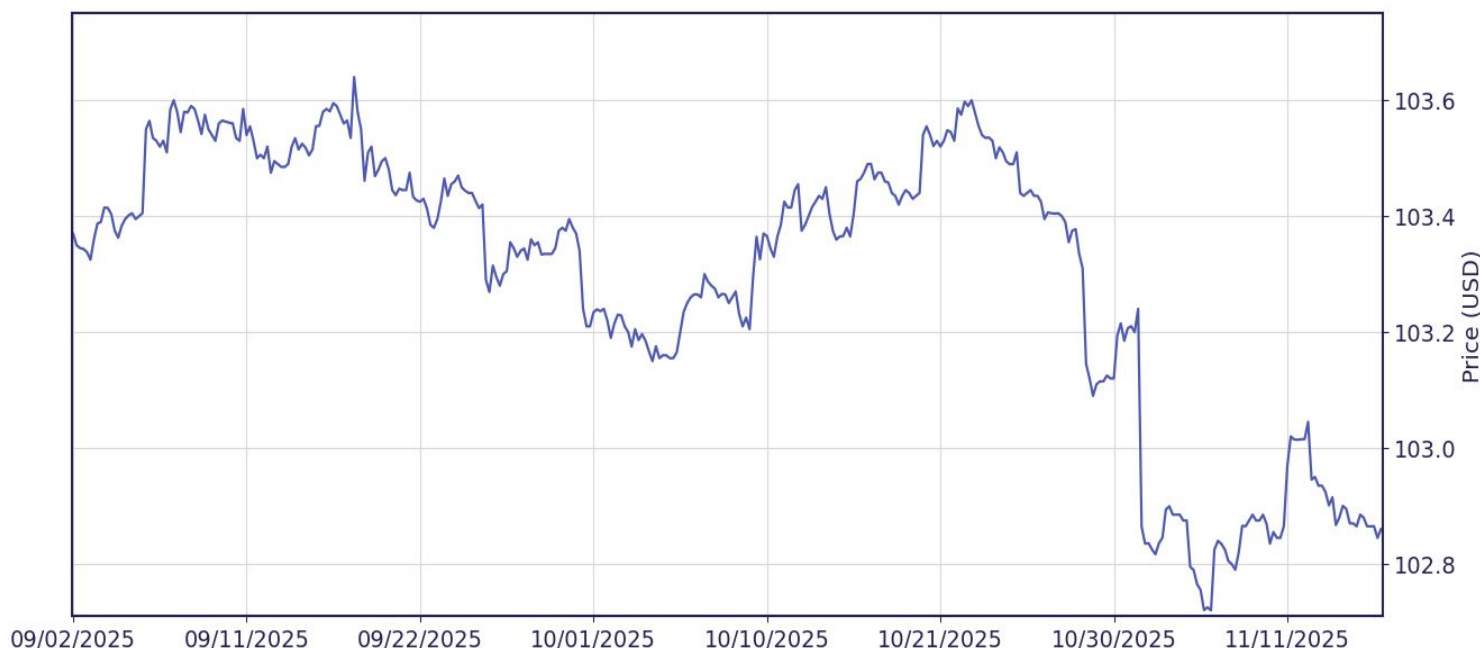
The iShares 1-5 Year TIPS Bond ETF (STIP) tracks short-maturity inflation-protected Treasuries and tends to move with near-term inflation expectations and the Fed's policy outlook. Since late September, STIP has drifted lower as investors navigated missing economic data during the government shutdown and a shift in interest-rate expectations.

Front-end breakevens held near 2.3 to 2.4 percent through early October, but with no CPI or labour reports available, the market had little confidence in the inflation trend. This lack of visibility meant even routine moves felt uncertain, and pricing became more sensitive to headlines than hard data. TipsWatch also noted that the longer the shutdown persisted, the greater the uncertainty around TIPS indexation at upcoming auctions. That added an unusual technical element to the short-end, making investors less willing to take inflation exposure without clear data.

STIP saw its biggest adjustment in the week of October 22, when the Fed cut rates. The hawkish tone pulled market expectations back. The probability of a December cut, close to 90 percent earlier in the month, has slipped toward roughly 55 percent. With fewer cuts now expected, real yields moved higher and short-dated TIPS came under pressure.

Schwab's recent commentary noted that term premium is no longer just a long-bond issue. When inflation-risk premium shifts, even short-maturity TIPS feel the impact. With clearer data still ahead, upcoming CPI and labour releases will likely determine whether STIP steadies or remains under pressure into year-end.

STIP: -0.49% since 2025-09-01



» Javad Aslanov, Fixed Income Analyst

Green Bond ETF Holds Firm Amid Ongoing Surge in Green Investing

The iShares USD Green Bond ETF (BGRN) gives investors exposure to U.S. dollar-denominated green bonds which is debt issued to finance projects like clean energy, transport, and efficient buildings. This week, the main story for BGRN isn't a significant price move, but the backdrop of investors that are still comfortable holding high-quality green debt as long as inflation feels under control and credit markets stay calm. Green bonds have continued to grow as a segment of the global bond market, and recent commentary suggests they remain a key tool for governments and companies that want to show credible climate spending rather than just talk about it. For example, Bank of Ireland's latest €750 million green bond was reportedly more than three times oversubscribed, showing investors are keen to buy credible climate-linked debt when it comes to market.

The UK government's Debt Management Office plans to issue £10 billion of green gilts in 2025–26, keeping its dedicated green programme roughly the same size as before. That steady plan sends a simple signal that green bonds are now a regular part of the UK's funding toolkit, not a one-off experiment. For BGRN investors, this kind of consistent sovereign behaviour supports confidence in the broader green bond market. UK green gilts are in sterling, not dollars, but a stable, repeat issuer in a major market helps anchor the asset class that BGRN taps into.

BGRN: +0.75% since 2025-08-01



» Khalil Ben Zina, Fixed Income Analyst

iShares Core U.S. Aggregate Bond ETF (AGG)

The AGG (iShares Core U.S. Aggregate Bond ETF) tracks the Bloomberg U.S. Aggregate Bond Index, giving broad exposure to the investment grade U.S. bond market across Treasuries, agencies, mortgage backed securities, and corporates. As of mid November 2025, the fund holds about \$134 billion in assets, with an effective duration around 5.8 years and a weighted average maturity near 8 years. Its 30 day SEC yield is roughly 4.2 %, and year to date total return is about +6.7 %, reflecting a solid rebound after two difficult years for bonds.

AGG's recent performance has been supported by a combination of easing Fed policy and more stable inflation data. The federal funds rate has been cut several times in 2025 and now sits in a 3.75 to 4.00 % range, while the 10 year Treasury yield is trading a little above 4 %, with strategists expecting only a modest move higher from here. Lower rate volatility and expectations for additional cuts over the next year have helped intermediate duration, high quality bonds grind higher, even as credit spreads sit near historically tight levels. At the same time, the aggregate index still faces interest rate risk if inflation surprises to the upside or markets walk back rate cut expectations. Overall, AGG remains a classic core fixed income holding that balances income, interest rate exposure, and broad diversification across the U.S. investment grade universe.

AGG: +1.20% since 2025-08-01



» Shrutee Sangeeta Behera, Fixed Income Analyst

Gains in Momentum for VWOB as Investors Turn to Emerging-Market Debt

The Vanguard Emerging Markets Government Bond ETF (VWOB) has become an increasingly competitive income option due to its low 0.15% expense ratio and wide exposure to emerging-market issuers such as Saudi Arabia, Mexico, Turkey, and Indonesia. With developed markets facing persistent rate uncertainty and yields on USD-denominated emerging-market debt rising to around 4% for 2020–2024 issuance, VWOB has stood out as a higher-yield alternative.

As a result, there have been various recent investments in VWOB, from firms like Greystone Financial Group (which added over \$21 million in recent filings) to The Trust Company, which increased its holdings to approximately \$17 million. Even so, sentiment toward emerging-market sovereign debt remains somewhat volatile, demonstrated by a recent \$160 million inflow following a large \$247 million outflow earlier in the year. Despite this, VWOB's appeal has continued to strengthen, reflected in its approximately 3.28% price increase since August 2025.

VWOB: +3.28% since 2025-08-01



» Shruti Satheesh, Commodities Analyst

Orange Juice Hits 3-Year Low: What is Driving the Plunge?

This market week, the Orange Juice (OJ) and Frozen Concentrated Orange Juice (FCOJ) contracts continued to decline from November 9th through the 16th, reaching a new 3-year low. The lowest price this week is 158.00 USD/Lbs, and the highest at 181.78 USD/Lbs (down by 9.20% since last market week). This extended decline in their prices marks the beginning of their market correction, which is driven by both easing supply fears and persistent demand destruction. There are three main reasons for this downturn: promising future harvest predictions, persistent demand destruction, and the reversal of several food-related tariffs.

First, industry experts predict that Brazil, the world's largest producer and exporter, will recover from the depleted 2024-2025 season to an incredibly promising 2025-2026 season. This caused the market to aggressively price this future supply relief, resulting in speculators rapidly liquidating their long-term positions. Second, a report released late in the week revealed the reversal of several food-related tariffs on South American imports. This report essentially cleared the path for cheaper organic juice to flow into the key US market and increase domestic inventory. Third, it is also very important to mention 'persistent demand destruction'. This theory suggests that the previously high prices of orange juice (which hit a record high in 2024) forced consumers to move away from this American breakfast staple and seek alternative beverages, reducing both consumption and demand. These factors together will force this commodity's price to a steady decline, as industry experts project that orange juice will last be traded approximately at 153.00 USD/Lbs by the end of the current quarter (Q4 2025).

OJ=F: -9.20% since 2025-11-09



» Khoa Dang, Commodities Analyst

Natural Gas Drops 4% as Storage and Record Output Cool Winter Momentum

U.S. natural gas futures slipped during the week of November 9–15, falling more than 4% to around \$4.44–\$4.45/MMBtu after briefly touching \$4.67/MMBtu, the highest levels since December 2022. The pullback followed a strong early-week rally but was ultimately driven by milder near-term weather forecasts and a larger-than-expected storage build. By Friday, prices were down about 5%, with Henry Hub at \$4.41/MMBtu, signaling a reset in bullish momentum.

The EIA reported a 45 Bcf injection for the week ending November 7, above analyst expectations. This pushed total inventories to 3,960 Bcf, about 4 to 4.5 percent above the five-year average. The elevated storage levels, combined with the Lower 48 states' record output of 109 bcf/d in November, reinforced the view of a well-supplied market and helped cool the bullish momentum seen earlier in the month. Even so, demand fundamentals remained firm. LNG exports averaged 17.8 bcf/d in November, surpassing October's record 16.7 bcf/d as European and Asian buyers continued to secure U.S. supply ahead of winter.

Looking forward, the forward curve shows a market balancing strong structural demand with ample supply and comfortable storage. Winter premiums remain moderate, suggesting traders are waiting for clearer confirmation of colder December weather before repricing risk. Over a longer horizon, the EIA expects production and consumption to reach new highs through 2025 and 2026, driven by power-hungry data centers and expanding LNG export capacity, with major shale regions well positioned to meet rising demand.

NG=F: +2.61% since 2025-11-09



» Shrey Desai, Commodities Analyst

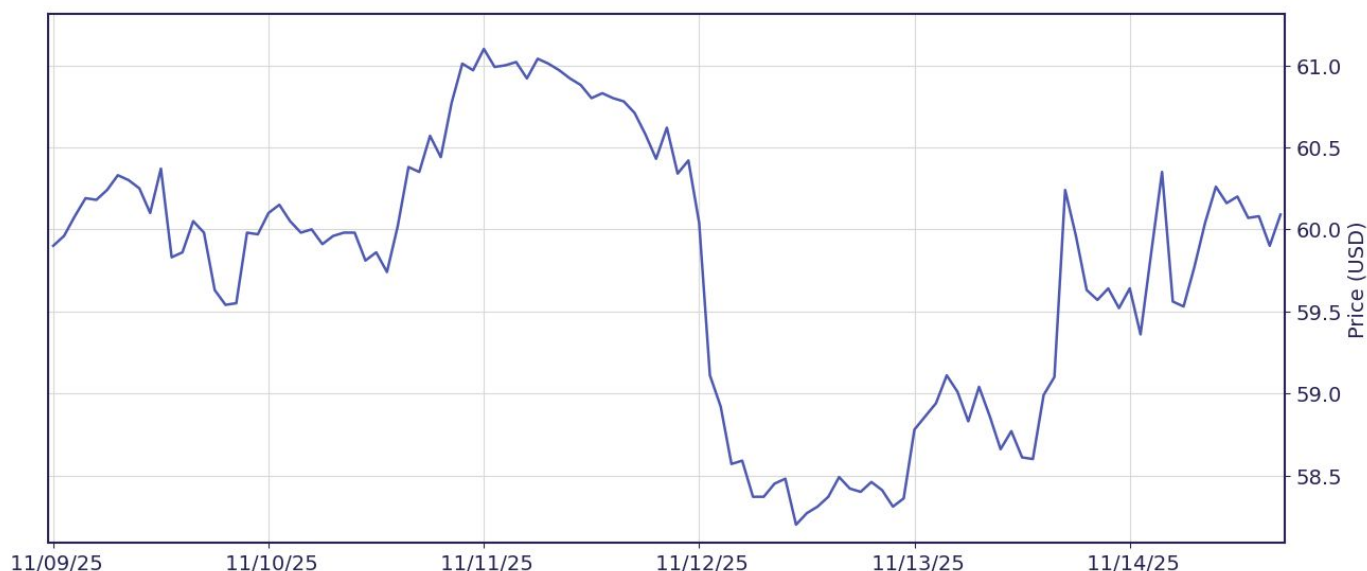
WTI Range-bound: Rising Inventories Clash With Geopolitical Tensions

WTI crude oil futures ended the week at \$59.8, as prices were range-bound amid rising US stocks and mixed supply signals. The latest US Energy Information Administration (EIA) data shows that US crude oil stocks rose by about 6.4 million barrels, continuing a multi-week trend of increasing stock. Additionally, OPEC recently forecasted a surplus of oil in 2026 due to increased output from OPEC+ members. High inventories typically exert downward pressure on prices, reflecting a market where supply is outpacing consumption. Traders remain cautious that additional supply build-up could limit price upside.

Despite the rising supply of crude oil, geopolitical factors have provided some support to prices. The market rallied on Friday after a Ukrainian drone attack on Russia's Novorossiysk port damaged oil infrastructure and led to a disruption in Russia's exports. While geopolitical tensions have given prices a short term lift, the bigger picture of rising inventories and weak demand fundamentals keeps prices from a further rise. Additionally, from a technical perspective, WTI is testing a major resistance zone around the 52-week moving average (\$62.25) that has been a tough barrier to break through for recent rallies.

Traders are watching this resistance level closely, as a rise above \$62.25 could signal a potential bullish breakout, which may require a demand increase or significant supply disruption. The near-term outlook is neutral to slightly bearish, as rising inventories remain the dominant bearish factor and demand signals and geopolitical disruption are not strong or sustained enough respectively to justify a breakout.

CL=F: +0.32% since 2025-11-09



» Jerry Chen, Commodities Analyst

Yttrium Shortage Sparks Rally as U.S.-China Deal Remains Elusive

The VanErck Rare Earth/Strategic Metals ETC (REMX) concluded the week with gains of 3.48%, closing at \$70.21. Market sentiment seems to be shaped by major geopolitical developments.

On Sunday, November 16, Treasury Secretary Scott Bessent announced that a US-China rare earth agreement may be finalized by Thanksgiving. Meanwhile, a severe yttrium shortage intensified throughout the week, with European prices surging 4,400% since January to \$270 per kilogram as China's April export controls continue to restrict shipments of seven critical rare earth elements for aerospace, semiconductor, and clean energy industries. Separately, MP Materials (REMX's fifth-largest holding) received a \$400 million Pentagon investment, while Vulcan Elements secured a \$1.4 billion government partnership to build domestic magnet production capacity.

In the near-term, REMX may experience elevated volatility as the Thanksgiving deadline approaches, with performance tied to diplomatic outcomes rather than supply-demand fundamentals. If negotiations break down, government support may accelerate for Western rare earth projects and widen pricing premiums for non-Chinese suppliers represented in REMX's portfolio. Downside risk is limited by structural supply constraints and the Pentagon's January 2027 prohibition on Chinese-sourced magnets in defense applications, which ensures continued government procurement at premium pricing.

REMX: +2.33% since 2025-11-10



U.S. Power Prices Hold Steady as Rising Data-Center Load Clashes With Mild Near-Term Demand

PJM provided the clearest signal of this tightening trend, with its most recent capacity auction clearing at \$329/MW-day for the 2026–27 delivery year which is about 22% higher than a year earlier. Much of this surge is attributed to the rapid build-out of AI-driven data centers and digital infrastructure, which has meaningfully increased forward load expectations in parts of the system. While these structural pressures are beginning to show up in forward indicators, near-term conditions remain comfortable as generation availability is strong, congestion has been limited, and weather-related load remains below seasonal norms. Natural gas prices have also been relatively stable, helping to cap marginal generation costs and limiting upside in day-ahead and real-time markets.

Looking ahead, analysts expect wholesale power prices to gradually increase as the growth in data-center and industrial load outpaces new supply additions. Currently, the EIA is projecting average U.S. wholesale prices around \$47/MWh next year. For now however, the market remains middling for the most part, with mild weather capping upsides as structural demand growth and higher capacity prices keep a floor under the market.



» Gauri Sharma, Currencies Sector Head

USD/JPY: Yen Firms Slightly as U.S. Yields Ease

Over the past week (November 10-17, 2025), USD/JPY traded within a tight 153.4-155.0 band, ending the period with a modest 0.42 percent strengthening of the Japanese yen. The pair drifted higher early in the week toward the 154.8 level but lost momentum as U.S. Treasury yields softened mid-week. FXStreet commentary noted that lower yields reduced support for the dollar, easing the upward pressure seen earlier and helping cap USD/JPY below key resistance. Market participants also positioned cautiously ahead of upcoming U.S. inflation data, contributing to a more consolidated tone.

Japanese officials maintained a steady pattern of verbal intervention, signaling discomfort with yen weakness near the 155.0 threshold. This stance limited the pair's upside and discouraged traders from pushing into higher levels. Mildly risk-off sentiment in global markets provided additional support for the yen, although there were no major macroeconomic releases from Japan that materially altered the outlook. Traders also continued monitoring for any signs of BoJ policy adjustment, even as policymakers remained broadly dovish.

Together, these factors kept USD/JPY range-bound but with a noticeable bias toward JPY strength. The interplay of softer U.S. yields, intervention-sensitive levels, and steady risk conditions suggests the pair will likely continue consolidating unless a significant catalyst emerges from U.S. economic data or more direct BoJ communication. For now, 155.0 continues to act as a firm psychological ceiling, while support near 153.5 has consistently held, reinforcing the current consolidation range.

JPY=X: +0.42% since 2025-11-10



» Shivam Chopra, Currencies Analyst

Pound stays Range-Bound as BoE Rate-Cut Risks Rise and UK Budget Looms

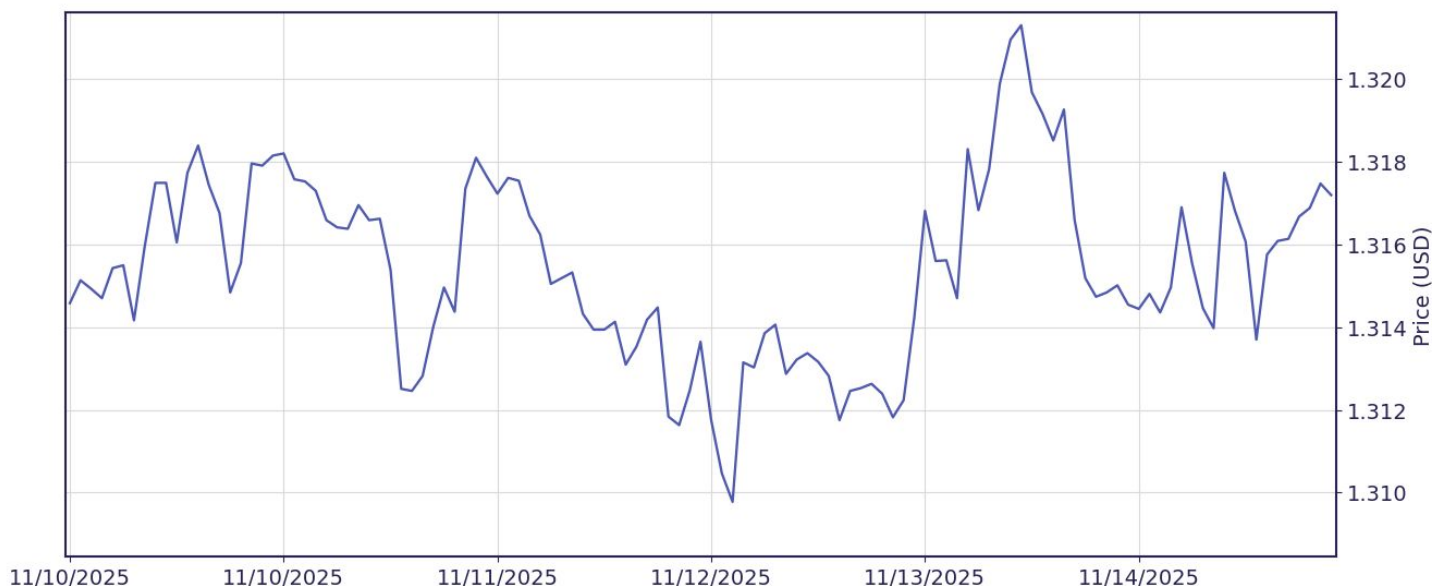
The pound has spent the past two weeks moving sideways, unable to establish a clear trend as investors weigh the possibility of the Bank of England cutting rates before the Federal Reserve. Both central banks currently sit near the same policy rate of roughly 4 percent, so there is no active rate differential. What matters now is the sequencing of cuts. With the probability of another Fed move slipping to about 55 percent and the BoE facing softer domestic data, the outlook has become more chaotic than directional.

UK growth numbers added to this uncertainty. GDP came in at 0.1 percent compared with expectations of 0.2 percent, pointing to an economy that is still losing momentum. Slowing wage growth and a cooling labour backdrop have increased speculation that the BoE may need to ease sooner, and if that happens while the Fed remains cautious, the policy gap could start favouring the dollar.

Budget expectations are adding an extra layer of noise. Uncertainty around Chancellor Rachel Reeves' fiscal plans on November 26 continues to influence sterling more than routine macro data. Markets expect some level of tax increases to address fiscal pressures, but the details remain unclear. This lack of clarity is keeping investors cautious and has limited enthusiasm for a stronger pound.

For now, GBP/USD is holding steady within recent ranges, but without a clear push from data or policy, upward momentum remains limited. The next meaningful move may only come once the budget is announced or when incoming data provide a clearer signal on how soon the BoE might need to shift its stance.

GBPUSD=X: +0.20% since 2025-11-10



» Purvi Kathalkar, Currencies Analyst

EUR/USD experiences modest upward trend in light of U.S. shutdown ending

The EUR/USD pair has seen a modest upwards trend in the month of November, increasing from its low of ~1.15 to over 1.16 currently.

The European Central Bank has indicated that they do not see a reason to change their current interest rates. On the U.S. side, the uncertainty surrounding U.S. economic data due to the government shutdown had led to less clarity. But, the signing of the bill to end the shutdown on November 12th, has allowed markets to start returning to normal using the restored government functions. This contributed to a less U.S. strength, which when coupled with the stable rates from the ECB, has led to the EUR/USD currency pair rising.

Sentiment for the dollar mainly came from the data vacuum from the delay of the U.S. releases due to the shutdown. While for the euro, sentiment was largely based on the perception of the euro-zone and modest signs of growth, which has culminated in smaller consolidations instead of a strong trend in favor of the euro.

Overall, it is still possible for the pair to go either way depending on if the dollar is able to regain its strength. Some key factors to pay attention to would be newer, more accurate data reports about the U.S. as the government starts returning to its previous functionality. Additionally, statements from the ECB and the Fed could shine some light on what future policies will be and what types of changes to interest rates might be upcoming.

EURUSD=X: +0.84% since 2025-11-01



Title

Looking ahead, USD/CAD could drop a bit below toward the mid-1.39s if oil prices keep improving or if Canadian data continues to come in stronger. But if market sentiment drops again or U.S. yields rise, the pair will likely stay near 1.40. The CAD would likely strengthen more if the BoC expressed stronger confidence in the outlook and pushed back on expectations for early rate cuts.



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